

INTERNAL INVESTIGATION: Whistleblower Report WB-2026-04

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Classification: STRICTLY CONFIDENTIAL (Tier 1) Issue Date: May 05, 2026

Status: ACTIVE / UNDER REVIEW

1. Nature of Allegation

On April 20, 2026, a protected disclosure was made via the internal ethics hotline regarding systemic "underwriting bypasses" within the NRI Lending Cell (South Zone). The report alleges that credit limits were artificially inflated to favor high-net-worth (HNW) offshore clients.

2. Technical Mechanism of the Bypass

Investigations have confirmed that the Regional Manager (NRI Cell) and two senior credit officers utilized a legacy administrative backdoor to override the Core Banking System (CBS) automated risk blocks.

- **Override Code:** The bypass was executed using the legacy Manual Credit Override code 'MCO-88'.
- **Method:** This code allows a user with Level 4 authorization to manually approve a loan even if the Loan-to-Value (LTV) ratio exceeds 90%, bypassing the standard 80% hard-cap established in the *Retail NRI Home Loan Policy*.
- **Concealment:** These loans were intentionally tagged under 'Standard Asset – General' categories to avoid triggering the 'High-Risk Watchlist' monitors.

3. Financial Impact & Exposure

The investigation has mapped 12 specific loan accounts linked to this bypass.

- **Total Unsecured Exposure:** ₹14.5 Crore.
- **Status of Assets:** While currently performing, these assets lack sufficient collateral. If the real estate market in the South Zone corrects by >5%, the bank faces a total loss given default (LGD) on the full ₹14.5 Crore amount.

4. Personnel Involved

The following roles have been identified as primary actors in the MCO-88 bypass:

1. Regional Manager – NRI Cell (South Zone): Authorized the manual overrides.
2. Senior Credit Officer (ID: SC-992): Processed the documentation without verifying collateral.

5. Mandatory Remediation

- **Immediate Action:** Permanent revocation of MCO-88 override privileges for all users.

- **Systemic Fix:** Migration of all NRI loan processing to the Sentinel GraphRAG Governance Platform to ensure real-time, non-bypassable audit trails.
- **Key Rotation:** Reset of all root encryption keys for the NRI processing module (Target: End of Month).